

Limitations to Trademark Protection as Defences to Infringement

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I INTRODUCTION

True to its free market origins, the EU Trade Mark Directive (TMD)¹ allows any sign to be registered as long as it is acting as a badge of origin and as long as it does not fall into one of the absolute grounds for refusal of registration. Some bars to registration cannot be overcome, such as those prohibiting the registration of functional shapes or signs that offend against public morality. However, other signs, which are descriptive, non-distinctive or generic, while disallowed from immediate registration, can subsequently be registered provided they have acquired distinctiveness through use. The EU trademark regime thus allows for the registration of signs that under previous laws of member states might have been denied registration in the public interest. For instance, in the United Kingdom and in Germany, this category included signs that were distinctive but, the courts held, should be left free for others to use, such as geographical names.² For the same reason, under its 1938 Trade Marks Act, the UK courts would not allow the registration of functional and non-functional shape marks even with acquired distinctiveness.³ Given its overwhelmingly laissez-faire attitude toward the determination of which marks are registerable, it is all the more important that the TMD provides limitations to the rights afforded by registration. These limitations would allow use of the registered mark or an identical or similar sign by a third party in certain defined circumstances and would thus provide a defence to infringement. It is these limitations that delineate, in large measure, the boundaries to trademark protection.

The Preamble to the TMD, as amended in 2015 with entry into force in 2016 (2015 TMD), at paragraph 27 introduces the principle of limitations. It states: “The exclusive rights conferred by a trade mark should not entitle the proprietor to prohibit the use of signs or indications by third parties which are used fairly and thus in accordance with honest practices in industrial and

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¹ Council Directive 2015/2436/EU to approximate the laws of member states relating to trademarks (hereinafter 2015 TMD); Directive 89/104/EEC (hereinafter 1989 TMD) codified as Directive 2008/95 EC (hereinafter 2008 TMD). EU trademarks are currently regulated by Regulation (EU) 2017/1001.

² For a UK example, see *Yorkshire Copper Works LTD's Application for a Trade Mark*, in REPORTS OF PATENT DESIGN & TRADE MARK CASES vol. 70, 1–9 (1953), <https://academic.oup.com/tpc/article/70/1/1/1584465>; the equivalent in Germany was the doctrine of “Freihaltedurfnis.” See Jennifer Davis, *Protecting the Common: Delineating a Public Domain in Trade Mark Law*, in TRADE MARK LAW AND THEORY: A HANDBOOK OF CONTEMPORARY RESEARCH 345 (Graeme. B. Dinwoodie & Mark. D. Janis eds., 2008).

³ Coca Cola Trade Mark, 1985 FSR 315.

commercial matters.”⁴ These “fair” uses are then set out in Article 14(1) of the 2015 TMD, entitled: “Limitations on the effects of a trade mark.” They are: the use of the name or address of the third party, where that third party is a natural person;⁵ the use of signs or indications that are not distinctive or that concern the kind, quality, quantity, intended purpose, value, geographical origin, the time of production of goods or of rendering of the service, or other characteristics of goods or services;⁶ and the use of the trademark for the purpose of identifying or referring to goods or services as those of the proprietor of that trademark, especially where the use of the trademark is necessary to indicate the intended purpose of a product or service, in particular as accessories or spare parts.⁷ Echoing the Preamble, Article 14(2) states that these limitations will apply only if the third party’s use of the registered mark or its equivalent “is in accordance with honest practices in industrial or commercial matters.”⁸

Returning to the Preamble, three additional “limitations” are identified. At paragraph 20, the Preamble makes clear that the use of a registered trademark in comparative advertising is non-infringing unless it is contrary to the 2006 EU Comparative Advertising Directive (2006 CAD).⁹ And returning to paragraph 27, the Preamble identifies the right for third parties to use the registered mark for the reselling of the goods of the proprietor. Finally, and perhaps most notably, use of a trademark for the “purpose of artistic expression” is non-infringing. The paragraph concludes: “this Directive should be applied in a way that ensures full respect for fundamental rights and freedoms, and in particular the freedom of expression.”¹⁰

The broad principle behind these limitations was summarized by the Court of Justice of the European Union (CJEU) in the early case of *BMW v. Deenik* when it noted about the 1989 TMD: “Art. 6¹¹ seeks to reconcile the fundamental interests of trade-mark protection with those of the free movement of goods and freedom to provide services in the common market in such a way that trade mark rights are able to fulfill their essential role in the system of undistorted competition.”¹²

This chapter will be concerned with these limitations. It will look at each in turn and it will examine how the courts have interpreted limitations in order to balance the interests of market actors in trademark infringement actions. But first, because it is necessary for the third party to act “in accordance with honest practices in industrial or commercial matters” in order to rely on any of these limitations,¹³ this chapter will look at how this caveat is understood to apply. The chapter will conclude by returning to limitations set out in paragraph 27 of the Preamble and

⁴ This paragraph was not included in the preamble to the earlier directives. However, it reflects the legal principles that have emerged through subsequent CJEU decisions.

⁵ 2015 TMD, art. 14(1)(a).

⁶ *Id.*, art. 14(1)(b).

⁷ *Id.*, art. 14(1)(c).

⁸ Art. 14(3) adds a further limitation: “a trade mark shall not entitle the proprietor to prohibit a third party from using, in the course of trade, an earlier right which applies in a particular locality, only if that right is recognised by the law of the Member State in question and the use of that right is within the limits of the territory in which it is recognised.” In the UK, this would apply to marks protected under passing off. See 2015 TMD, art. 14(3).

⁹ Council Directive 2006/114/EC concerning misleading and comparative advertising (hereinafter 2006 CAD).

¹⁰ The reference is to the Charter of Fundamental Rights of the European Union, including most notably art. 11, freedom of expression, art. 12, the freedom to conduct business, and art. 13, the right to property. See European Parliament et al., *Charter of Fundamental Rights of the European Union*, 2012/C 326/02 OFFICIAL JOURNAL OF THE EUROPEAN UNION (2012).

¹¹ The equivalent of art. 14 under the 2015 TMD.

¹² Case C-63/97, *Bayerische Motorenwerke AG (BMW) v. Ronald Karel Deenik*, 1999 ECR I-905, EU:C2003:145, § 62.

¹³ Preamble, 2015 TMD, § 27.

ask whether the concern to protect expressive uses of registered marks, explicitly recognized for the first time in the 2015 TMD, the newly adopted Trade Mark Directive, will likely impact the protection afforded to registered marks in the future.

II HONEST PRACTICES

The necessity to act in accordance with honest practices in industrial or commercial matters qualifies all the limitations set out in Article 14 of the 2015 TMD. In *BMW v. Deenik*, a case relating to the advertising of spare parts, the CJEU held that “honest practices” constituted “a duty to act fairly in relation to the legitimate interests of the trade mark owner.”¹⁴ This condition has also been described as a tool for the “balancing or reconciliation of potentially conflicting interests between the trade mark proprietor and third parties.”¹⁵ In the leading case of *Celine Sarl v. Celine SA*, which involved an “own name” defence, the CJEU considered what constitutes honest practices.¹⁶ It held that in assessing whether use is honest, account should be taken first of the extent to which the mark is understood by the relevant public, or a significant section of it, as indicating a link between the third party’s goods or services and those of the trademark proprietor and, second, the extent to which the third party ought to be aware that a link is being made. A third factor to be taken into account is whether the trademark concerned enjoys a reputation in the member state in which it is registered and from which the third party might profit. In other words, does the third party’s use of the mark lead to its dilution or tarnishment, or to the taking of unfair advantage? Elsewhere, it was held that the possibility of a measure of confusion does not preclude the use of these defences.¹⁷

Such an assessment was carried out by the UK Court of Appeal in *Roger Maier v. ASOS*. The claimants had a European Trade Mark (EUTM) for ASSOS for clothing. It sold high-end cycling gear and did not sell online. The defendant ran a successful online fashion shop named “ASOS.” Both had been trading for some years. In 2011, ASSOS brought infringement proceedings against ASOS. ASOS mounted an own name defence. In the Court of Appeal, Kitchin LJ, for the majority, found for ASOS and in doing so assessed whether it had acted according to honest practices. Among the factors taken into account were the following: that the name was adopted independently; that ASOS had no intention of damaging the claimant’s business; and that even though ASOS failed to conduct a trademark search before adopting the trading name ASOS, had it done so ASOS would not have believed its business would impact the defendant’s business. Interestingly, Sales LJ, dissenting, held that ASOS’s failure to conduct a trademark search did not constitute honest practice.¹⁸ It is possible to take from this finding not only the breadth of considerations that might be applied in deciding whether the defendant has acted in accordance with honest practices, but also their subjectivity. Indeed, it would seem that courts will have relatively wide discretion to decide whether the actions of the defendant, claiming one of these limitations in its defence, are fair and hence contribute to the optimum balance of interests among market actors.

¹⁴ Case C-63/07, *BMW v. Deenik*, § 61.

¹⁵ Case A3/2014/0619, *Roger Maier Assos of Switzerland SA v. ASOS plc ASOS.com Ltd*, 2015 EWCA Civ. 22, at 147.

¹⁶ Case C-17/06, *Celine Sarl v. Celine SA*, 2007 ECR I-7041.

¹⁷ Case C-100/02, *Gerolsteiner Brunnen GmbH & Co. v. Putsch GmbH*, 2004 ECR I-691, EU:C:2004:11, at 25–26.

¹⁸ Case A3/2014/0619, *Maier v. ASOS*, § 245.

III USE OF OWN NAME

While a finding of honest practices allows for a wide-ranging assessment by the courts, the same is not now true for the “own name” defence. As the courts previously interpreted the 1989 and 2008 TMDs, the own name defence was available both to companies and to natural persons.¹⁹ Under the 2015 TMD it is now available only to natural persons. This new, more limited, protection follows advice given in the study by the Max Planck Institute (MPI Study), which was tasked with surveying the workings of the 2008 TMD and suggesting reforms. The concern expressed in the study was that under this provision, unregistered trade names were often given protection against registered, but younger marks. As a result, allowing the defence to apply to companies upsets the principle engraved in trademark law that conflicts between registered marks and signs should be resolved on the basis of priority. It followed that this limitation should be applied only if it were based “on the legitimate interest of the owner to use his own personal name in commerce in order to designate his business.”²⁰

In a recent case in the Chancery Division of the United Kingdom, *Sky v. Skykick*,²¹ the defendant argued that removing the own name defence from companies would infringe its rights under the Charter of Fundamental Rights of the EU, in particular its right to free expression and freedom to conduct business.²² Arnold J agreed that the change was in conflict with these rights.²³ However, applying the proportionality principle as set out in Article 52 of the Charter, Arnold J (as he then was) held the measure was “justified by legitimate objectives and was not manifestly inappropriate.”²⁴ Its purpose was to protect intellectual property as set out in Article 17 of the Charter, guaranteeing the right to property. He explained that legal persons, unlike natural persons, could choose their own names; that the change had been a legitimate policy choice as advocated in the MPI Study; and that acting on a case-by-case basis in relation to legal persons could produce uncertainty.²⁵ Interestingly, returning to the *Maier* case, at the time of the judgment, ASOS’s online business was valued at over £2 billion and the UK Court of Appeal concluded the claimant would not be damaged if ASOS continued to trade under that name. Yet under the new regime, the damage to ASOS’s business would have been substantial and it is difficult to see to what end. Conversely, it is possible to ask how likely it is for natural persons to offer such a defence if challenged by a wealthy company.

IV USE OF SIGNS THAT ARE NON-DISTINCTIVE OR DESCRIPTIVE

This is perhaps the most important limitation under Article 14 of the 2015 TMD. It allows the use of “signs or indications which are not distinctive or which concern kind, quality, quantity, intended purpose, value, geographical origin or other characteristics of goods or services.”²⁶

¹⁹ Case C-245/02, *Anheuser-Busch v. Budejovický Budvar, Narodní Podnik*, 2005 ETMR 27, §§ 81–85. This had not been the intention of the framers of the Directive, i.e. the EU Council and Commission. See MAX PLANCK INSTITUTE FOR INTELLECTUAL PROPERTY AND COMPETITION LAW (MPI), STUDY ON THE OVERALL FUNCTIONING OF THE EUROPEAN TRADE MARK SYSTEM, 117 (2011) (hereinafter MPI Study), § 2.240.

²⁰ MPI Study, *supra* note 19, 70–121, § 2.25–2.255.

²¹ Case HC/2016/001587, *Sky plc v. Skykick UK Ltd*, 2018 EWHC 155 (Ch.), 2018 ETMR.

²² See arts. 11–13, *supra* note 10.

²³ Case HC/2016/001587, *Sky v. Skykick*, § 354. See also *Sky v. Skykick* [2020] EUECJ C-371/18. In *Sky v. Skykick* 2020 WL 02047926, Lord Arnold reaffirmed his earlier approach to the own name defence.

²⁴ *Id.*, § 351, citing Case C-447/14, *Pillbox 38 (UK) Ltd v. Sec’y of State for Health*, EU:C:2016:324, at 49.

²⁵ Case HC/2016/001587, *Sky v. Skykick*, § 354.

²⁶ Art. 14(1)(b), Directive (EU) 2015/2436 of the European Parliament and of the Council of Dec. 16, 2015.

If the stated purpose of these limitations is to balance the interests of market actors and to strengthen freedom to trade within the common market, then it is easy to see how the monopoly of any of the signs identified in Article 14(1)(b) by a single commercial entity might undermine both. We have seen how, in the United Kingdom under previous trademark law, many descriptive words would not be registered even if they were distinctive. A prominent example arose when an application was made to register the geographical name “York” for tractor trailers manufactured in York, Ontario. The application was rejected. According to Lord Wilberforce in the House of Lords, referring to laudatory epithets and geographical names, “traders could not obtain a monopoly of the use of such words (however distinctive) to the detriment of members of the public who, in the future, and in connection with other goods, might desire to use them.”²⁷ Under EU trademark law the decision in this case would have immediately been weighted in favour of the applicant for the mark as it had acquired distinctiveness. Hence the importance of Article 14(1)(b), in the current 2015 TMD, as a means of protecting a domain of signs that other traders might wish to use.²⁸

In the course of a number of CJEU decisions interpreting the 1989 and 2008 TMDs, the precise relationship between infringement and this specific defence became obfuscated.²⁹ The CJEU held, over a number of cases, that the use of an identical sign on identical goods, even if it were not trademark use, would be infringing if it affected any of the “functions” of a registered trademark rather than just its “essential” origin function.³⁰ These other functions identified by the CJEU are guaranteeing the quality of the goods or services, communication, investment, and advertising.³¹ *Arsenal v. Reed* was the first case in which the CJEU explicitly raised the idea that even non-trademark use might infringe, if it affects the functions of a trademark.³² In later cases, the CJEU took a restrictive approach to finding that the functions of a registered trademark had been affected, frequently balancing the interests of the proprietor of the registered mark against those of the defendant. Thus in *Opel v. Autec*,³³ Opel manufactured cars but had a trademark, inter alia, for toys. Autec manufactured scale model toy cars, one of which was an Opel carrying the Opel trademark. Here the use of the mark on the model car was held not to be protected as an indication of the characteristics of the product. But it was also held not to have affected the functions of the registered mark, in particular the origin function. The average consumer would understand the use of the mark by the defendants to be indicating that theirs was a scale model of the Opel car. As a result, there would be no infringement. In *Google v. Louis Vuitton*³⁴ the CJEU held that forcing a trademark proprietor to pay a higher price to ensure their mark came above its use by others as a Google Adword did not constitute an adverse effect on the advertising function of the mark. While in *Marks & Spencer v. Interflora*³⁵ the CJEU defined the investment function as using the mark to acquire or preserve a reputation

²⁷ York Trade Mark, 1984 FP 231, at 254.

²⁸ Previously 1989 TMD and 2008 TMD, art. 6(6)(b).

²⁹ For an account of this development, see Annette Kur, *Trade Marks Function Don't They? CJEU and Unfair Competition Practices*, 45 INT'L REV. INTEL. PROP. & COMPETITION L. 434 (2014).

³⁰ For an illuminating account of the relationship between “functions theory” and freedom of expression, see Lukasz Zelechowski, *Invoking Freedom of Expression and Freedom of Competition in Trade Mark Infringement Disputes: Legal Mechanisms for Striking a Balance* (Feb. 21, 2018), 115, <https://ssrn.com/abstract=3129655>.

³¹ Case C-324/09, *L'Oréal SA v. Bellure NV*, 2011 ETMR 52, § 58.

³² Case C-206/01, *Arsenal Football Club plc v. Reed*, 2003 ECR I-10273. Arguably, though, the idea was not fully tested in *Arsenal* because the CJEU held there could be infringement of the origin function leading to customer confusion.

³³ Case C-48/05, *Adam Opel AG v. Autec AG*, 2007 ECR I-1017.

³⁴ Case C-238/08, *Google France Sarl v. Louis Vuitton Malletier SA*, 2010 ECR I-2417.

³⁵ Case C-323/09, *Interflora Inc. v. Marks & Spencer Plc*, 2012 ETMR 1.

capable of attracting consumers and retaining their loyalty. But it also held that even if such use by the third party obliged the proprietor to adapt its efforts to gain consumer loyalty and to protect its reputation, the investment function would not be affected.

In the case of *Opel*, as we have seen, the fact that the CJEU could determine there had been no damage to the functions of the registered mark allowed it to find for the defendant even though the limitation to trademark infringement, under the general rubric “descriptive use,” did not apply. The same argument might possibly apply to *Google* and *Interflora*.³⁶ The 2015 TMD addressed the uncertainty that arose when a concern with a trademark’s other functions, and not just its origin function, was injected into double-identity infringement actions in two ways. It states that in such cases the guarantee of the sign as an indication origin should be absolute;³⁷ and that an infringement of a trademark can be established only if the later mark or sign is used in the course of trade for the purpose of distinguishing goods and services.³⁸ It goes on: “use of a sign for purposes other than for distinguishing goods and services should be subject to the provisions of national law.” This would appear to erase the possibility that a mark being used purely descriptively can infringe. But also suggests it is still possible for a national court, perhaps applying unfair competition law, to make a different finding.

By contrast, in a number of cases concerned with “double identity” infringement, the CJEU gave examples of purely descriptive use; that is where the sign was not used as a trademark and there would be no question of any of the functions of the registered mark being affected. The leading case is undoubtedly *Michael Holterhoff v. Ulrich Freiesleben*.³⁹ In this case, Freiesleben was the proprietor of two trademarks, “Spirit Sun” and “Context Cut,” for precious stones of a particular cut. Holterhoff also dealt in precious stones, and sold two garnets identified in the course of oral negotiations with the purchaser as “Spirit Sun” and “Context Cut,” while the order was for two stones in the “Spirit Sun cut.” The CJEU held that the trademark had been used by the defendant purely descriptively in order to reveal the characteristics of the products offered for sale and not to indicate their origin. Interestingly, in the recent US case *Tiffany v. Costco*, the New York Southern District Court came to an opposite conclusion on similar facts.⁴⁰ The plaintiff had the registered trademark “Tiffany” for jewelry. The defendant used the word “Tiffany” to describe the appearance of a diamond ring sold instore. The defendant argued, *inter alia*, that such descriptive use was compatible with the registered mark maintaining its distinctive character. In contrast to the CJEU judgment in *Freiesleben*, the US court dismissed the notion that there could be such “dual use” of a registered mark. *Holterhoff* was later distinguished by the CJEU in *Arsenal*, where it was held that the defendant, Reed, was not using the Arsenal mark, “for purely descriptive purposes.” However, another oft-cited case, which is concerned with the geographical origin of goods, *Gerolsteiner v. Putsch*, appears to contradict the distinction made in *Arsenal*.⁴¹ In *Gerolsteiner*, the claimant had a registered mark, “Gerri,” for soft drinks and the defendant was selling sparkling water under the name “Kerry Gold,” originating from Kerry, Ireland. The CJEU held that although there might be

³⁶ Porangaba argues that the functions theory allows the court to find there has been no infringement even with trademark use to decide such cases in light of market realities. See Luis H. Porangaba, *A Contextual Account of the Trade Mark Functions Theory*, in *INTELL. PROP. Q.* 230 (2018).

³⁷ Preamble, 2015 TMD, § 16.

³⁸ *Id.*, § 18.

³⁹ Case C-2/00, *Holterhoff (Michael) v. Ulrich Freiesleben*, 2002 ECR I-4187.

⁴⁰ *Tiffany and Co. v. Costco Wholesale Corp.*, 127 F. Supp. 3d 241 (SDNY 2015).

⁴¹ Case C-100/02, *Gerolsteiner v. Putsch*.

some confusion if a registered mark and a mark indicating the geographical origin of the goods were used together, the registered mark holder could not prevent such use by the defendant if it was in accordance with honest practices.

It is possible to find other cases at the national and EU level where courts engaged with delineating the scope of these particular limitations. But they are surprisingly few. Two reasons may be suggested for this. First, as was pointed out in the MPI Study,⁴² these limitations are of course also reasons to deny registration to trademarks in the first instance. And there are many more reported cases where such battles are fought at the point of registration. Second, it is possible to argue that once a non-distinctive mark or a descriptive mark is registered it becomes much more difficult to prove that use by the defendant is non-infringing. For example, in *Gerolsteiner*, the registered trademark was not itself a mark that had a descriptive meaning before registration. The same might be said for *Holterhoff*. By contrast, where an applicant can prove that its non-distinctive or descriptive mark has acquired distinctiveness and is legitimately registered, then it is difficult to see how its use by a third party, even if it is meant to be descriptive use, will not be infringing.

A case that illustrates these potential limits of the descriptive use defence is *Windsurfing v. Walter Huber*,⁴³ an infringement action and an important judgment in establishing the registrability of descriptive signs in the EU. In this case, the claimant had a number of German-registered graphic marks for clothing that incorporated the word “Chiemsee,” which is a lake and a tourist attraction in Germany. Windsurfing sold its clothes by the lake although they were made elsewhere. The defendant also sold clothes marked “Chiemsee” in a different graphic form, in proximity to the lake. The question for the CJEU was whether a descriptive term such as “Chiemsee” could be a registered trademark as it was a mark other traders might wish to use. The court answered, inter alia, that once a descriptive mark had acquired distinctiveness through use – that is, it had become a badge of origin for the relevant consumers – it could be registered. It is submitted that it is difficult to see how “Chiemsee” can now be used descriptively by a third party in a way which will not also be seen as trademark use. In other words, it is submitted that “Chiemsee” has been robbed of its descriptive character, as far as its market use is concerned. It is also interesting to note that in *Windsurfing*, the defendant, rather than relying for its defence on the available limitation, sought to argue that the earlier mark had been wrongly registered under Article 3(1)(c) of the 2008 TMD and should be declared invalid. This strategy, too, is not uncommon, thus further undermining the extent to which these limitations – supposedly designed to protect the use of registered trademarks by third parties in ways other than as a badge of origin – have proved a particularly useful tool in balancing market interests.⁴⁴

⁴² MPI Study, *supra* note 19, 121, § 2.257.

⁴³ Case C-108/97, *Windsurfing Chiemsee Produktions-und Vertriebs GmbH v. Boots- und Segelzubehör Walter Huber*, 1999 ECR I-2779, § 37.

⁴⁴ For an example of a leading CJEU infringement case where the defendant argued that the claimant's colour mark was invalidly registered as lacking distinctiveness, see Case C-217, *Oberbank AG v. Deutscher Sparkassen- und Giroverband eV Banco Santander SA*, 2014 WLR 274, EU:C:2014:2012. In relation to distinctiveness and shapes, see Case C-299/99, *Koninklijke Philips Electronics NV v. Remington Consumer Products Ltd*, 2012 ECR I-5475. See also Jennifer Davis, *Promoting the Public Interest and the European Trade Mark Directive: A Contradictory Approach*, ERA Forum 14, 117–29 (2013).

V USE OF THE REGISTERED MARK TO IDENTIFY GOODS OR SERVICES AS
FUNCTIONING WITH THOSE OF THE PROPRIETOR, OR FOR THE RESELLING
OF THE PROPRIETOR'S GOODS

It is useful to consider these two defences together: use to indicate the intended purpose of a product and use by a third party in reselling goods. They both allow traders to refer to a registered trademark in order to indicate the nature of the goods and services that they offer to the public, for example if their business is to repair or supply spare parts for the proprietor's goods or if they are reselling the proprietor's goods. Their purpose is to ensure that competition to supply spare parts and other goods, which might be identified by reference to a registered trademark, is not inhibited by the threat of an infringement action. The scope of the "spare parts defence" (or use to indicate the intended purpose of a product) was first considered by the CJEU in *BMW v. Deenik*.⁴⁵ The defendant, who was not an authorized BMW dealer, advertised that he sold and repaired second-hand BMWs. BMW sued Deenik for trademark infringement, and defendant raised the defence of intended purpose. The CJEU gave guidance as to when the defence might succeed. It held that use must be "necessary" to indicate the intended purpose of the goods or services. It also made clear that the defence fails if the mark is used in such a way "that may create the impression that there is a commercial connection between the other undertaking and the trade mark proprietor, and in particular that the reseller's business is affiliated to the trademark proprietor's distribution network or that there is a special relationship between the two undertakings."⁴⁶

Inevitably, the CJEU was later called upon to define what constitutes "necessity" and what constitutes fair use of the registered trademark. It did so in *Gillette v. LA-Laboratories Ltd Oy*.⁴⁷ The claimant marketed razors in Finland, including replaceable blades, under the registered marks "Gillette" and "Sensor." LA manufactured razors and replaceable blades similar to the claimant's products under a different mark, "Parason Flexor." Although it used this different mark, LA fixed a sticker to their packaging bearing the words "all Parason Flexor and Gillette Sensor handles are compatible with this blade." Gillette sued for trademark infringement and LA claimed a defence under Article 6(1)(c) of the 2008 TMD. The questions for the CJEU, *inter alia*, were whether a trader may refer to the third-party mark only if it is strictly necessary, even if such a prohibition puts the consumer at a disadvantage and, second, what constitutes honest practices. According to the CJEU, use of a trademark by a third party is necessary if that is "the only means of providing the public with comprehensible and complete information on that intended purpose in order to preserve the undistorted system of competition in the market for that product." In determining whether it is necessary, account must be taken of the nature of the public for which the product marketed by the third party is intended.⁴⁸ As to the further question of what constitutes honest use, the CJEU held that it would not be compatible with "honest practices" if there is an impression that there is a commercial connection with the proprietor; that it takes unfair advantage of the distinctiveness or repute of the mark; or if it denigrates the mark. Furthermore, the third party cannot present its product as an imitation or replica of the product bearing the trademark.⁴⁹ The CJEU also held that it is for the national court to determine whether the third party has met these criteria and, in doing so, account should be taken of the overall presentation of the product as marketed by the third party, including the

⁴⁵ Case C-63/97, *BMW v. Deenik*.

⁴⁶ *Id.*, § 64.

⁴⁷ Case C-228/03, *Gillette Co. v. LA-Labs. Ltd Oy*, 2005 ECR I-2337.

⁴⁸ *Id.*, § 39.

⁴⁹ See Case C-323/09, *Interflora v. Marks & Spencer*.

distinction made between use of the registered trademark and the mark or sign of the third party, and the effort made by that third party to ensure that consumers can distinguish its products from those of the trademark owner. Finally, the CJEU held that to indicate the intended purpose of a product by using the proprietor's mark does not have to mean the third party's product is of an equivalent quality.⁵⁰

Turning to the second defence, the use of a registered trademark by a third party in reselling goods, arguably the courts have taken a more restrictive approach than the one taken in interpreting the "spare parts defence." This might be explained by the fact that the leading case relating to the reselling of goods arose in the course of e-commerce. In *Portakabin v. Primakabin*,⁵¹ the CJEU looked at the defence provided by Article 6(1)(c) 2008 TMD when the trademark at issue is used as a keyword on the Internet by resellers of the trademark proprietor's goods. In this case, the "Portakabin" trademark was used by a company selling second-hand Portakabin products. In its judgment, the CJEU looked at the meaning of "honest practices." It held that an advertiser cannot, in general, rely on the exception for "intended use" in order to avoid liability for infringement. The CJEU noted that it is the advertiser that is acquainted with the particular market in which it operates who chooses the keyword that corresponds to another person's trademark, designs the advertisement alone or with the service provider, and therefore decides how the goods should be presented. As a result, if the advertisement leaves a significant number of consumers assuming the trademark proprietor had authorized the use of its mark or makes it difficult for the average internet user to ascertain who is supplying the goods, there would not be honest practices in industrial or commercial matters. It follows that despite the inclusion of reselling as a limitation to infringement in the preamble to the 2015 TMD, it may prove difficult, if not impossible, for a third party to make use of keyword advertising on the Internet where it is selling second-hand goods or spare parts that relate to that keyword (assuming it is a registered trademark).

VI COMPARATIVE ADVERTISING

The other circumstances where there is a defence to trademark infringement, where a third party uses a registered sign on the same or similar goods, is if it is used in the course of comparative advertising and so long as it does not contravene the 2006 CAD. In the recent case of *Carrefour v. ITM*,⁵² the CJEU described the rationale behind this limitation:

[S]ince comparative advertising contributes to demonstrating, in an objective manner, the advantages of various comparable goods and thus to stimulating competition between suppliers of goods and services to the consumer's advantage, the conditions to be met for such advertising must be interpreted in the sense most favourable to that advertising, while ensuring at the same time that comparative advertising is not used anti-competitively and unfairly or in a manner which affects adversely the interests of consumers.

According to Article 4 of the 2006 CAD, comparative advertising is permitted when it is not misleading; does not create confusion between the advertiser's trademark and those of a

⁵⁰ A recent UK Court of Appeal case involving the "spare parts" defence is *Bayerische v. Technosport*. See *Bayerische Motoren Werke AG v. Technosport London Ltd*, 2017 EWCA Civ. 779, 2018 RTR 1. Interestingly, there was no suggestion in the judgment that *BMW v. Deenik* is no longer authoritative.

⁵¹ Case C-558/08, *Portakabin Ltd v. Primakabin BV*, 2010 ETMR 52.

⁵² Case C-562/15, *Carrefour Hypermarches SAS v. ITM Alimentaire Internationale SASU*, 2017 EU:C:2017:95, 3 CMLR 1, § 21.

competitor or take unfair advantage of the reputation of a trademark, trade name, or other distinguishing marks; and it does not present the goods or services as imitations or replicas of goods or services bearing a protected trademark or trade name. In essence, the defence of comparative advertising allows the use of the registered mark by a third party in a way which would not infringe that mark under the terms of the TMD.

A leading case establishing the link between comparative advertising, trademark use and CAD is *O2 Holdings v. Hutchison*.⁵³ The claimant, O2, had various registered trademarks including one for “O2” and another for bubbles used in relation to, inter alia, telecommunications apparatus and telecommunications services. The defendant, H3G, also a mobile phone service provider, launched an advertising campaign comparing its services to other providers, including O2. In the case of O2, it used as a reference both the trademark “O2” and bubbles, which were similar but not identical to the bubbles registered by O2. O2 did not contest the accuracy of the comparison but alleged infringement of its trademark, through use of a similar mark on identical goods.⁵⁴ The case eventually reached the CJEU. The CJEU held that a comparative advertisement will not satisfy Article 3a(1) of CAD⁵⁵ if such use presents a risk of origin confusion because of the way the comparative advertiser deploys the competitor’s mark.⁵⁶ Rather, such use will be infringing use. On the facts of this case, the CJEU held that H3G’s use of the bubbles would not cause confusion or suggest a link with O2.⁵⁷

With its decision in *O2*, the CJEU made clear that if a comparative advertisement causes customer confusion, it is infringing. *L’Oréal v. Bellure* was also a case of comparative advertising. In this case, the defendants advertised their cheap perfumes as smelling like the claimant’s expensive perfumes, using the claimant’s registered trademarks as a reference. There was no allegation by the claimant that consumers would be confused by the use of its marks in the defendant’s advertisements. Rather, the defendant was alleged to have taken unfair advantage of the claimant’s trademarks.⁵⁸ The CJEU was asked about the relationship between infringement under the 2008 TMD and CAD. The CJEU held that under CAD, a comparative advertisement that presents the advertiser’s products as an imitation of a product bearing a trademark is inconsistent with fair competition and thus unlawful. As a result, any advantage gained by the advertiser through such advertising will have been achieved as the result of unfair competition and must, accordingly, be regarded as taking unfair advantage of the reputation of that mark.⁵⁹

The decision in *L’Oréal* is controversial. When the case returned to the UK Court of Appeal, Jacob LJ reluctantly found for the claimant but expressed his concern that the CJEU’s approach placed a limit on free speech, preventing traders from making “honest statements about their products.”⁶⁰ In this case, defendant Bellure was simply stating that it supplied smell-alike perfumes to those marketed by L’Oréal at a cheaper price, to the benefit of consumers who did not wish to pay the brand premium placed on L’Oréal’s perfumes. A more general question, following *L’Oréal v. Bellure*, is whether it is more important for competitors to have the opportunity to give consumers relevant information about two competing products than it is to protect the “reputation” of the trademark with which comparisons are to be made. In *L’Oréal*,

⁵³ Case C-533/06, *O2 Holdings Ltd v. Hutchison 3G UK Ltd*, 2008 ECR I-4231, 2007, 2 CMLR 15.

⁵⁴ 2008 TMD, art. 4(1)(b); 2015 TMD, art. 5(1)(b).

⁵⁵ Article 3(1) here is from Council Directive 97/55/EC concerning misleading advertising so as to include comparative advertising (hereinafter CAD). Art. 3(1) of this directive is equivalent to art. 4 in the 2006 CAD.

⁵⁶ Case C-533/06, *O2 v. Hutchinson*, § 44.

⁵⁷ *Id.*, § 63.

⁵⁸ 2008 TMD, art. 5(2); 2015 TMD, art. 10(1)(c).

⁵⁹ Case C-324/09, *L’Oréal v. Bellure*, § 69.

⁶⁰ Case C-487/07, *L’Oréal SA v. Bellure*, 2010 EWCA Civ. 535, § 8.

the CJEU expressed the view that the law should be interpreted in a way most favourable to comparative advertising, so long as the advertisements were not infringing. Brand holders may well disagree, holding that any use of their marks in comparative advertising is in effect taking advantage of their attractiveness. By contrast, it has been suggested that perhaps using registered trademarks in a referential manner (that is, not as a badge of origin), even if done in a commercial context, should have general and explicit protection.⁶¹

VII TRADEMARKS AND FREEDOM OF EXPRESSION AS A DEFENCE TO INFRINGEMENT

Thus far this chapter has addressed specific situations where the 2015 TMD offers, through a series of limitations, a defence for a third party that uses a registered trademark in the course of trade. There are of course many other defences available to one accused of infringing a trademark, including a claim of honest concurrent use or that the rights of the trademark proprietor have been exhausted for a variety of reasons.⁶² It is also open to a defendant to claim that the mark should not have been registered in the first instance because it falls within one of the absolute grounds for refusal of registration and so should be revoked; or that the registered trademark should be declared invalid because, for example, during the period of its use it has become generic. But at the start of this chapter we also pointed out that, according to the Preamble to the 2016 Directive, the rights of a trademark proprietor to bring an infringement action should be limited to allow for “artistic expression” and that trademark law should be applied so as to respect fundamental rights, in particular freedom of expression.

In the period before the adoption of the 2015 TMD there was considerable lobbying from academics and others to ensure that it would stress the importance of the principles of freedom of expression and undistorted competition, including weighing up the interests of competitors as well as consumers.⁶³ We have seen how the Directive did indeed mirror some of these concerns, although not a request that the Directive contain “an open-ended clause” to the limitations that would allow courts to “develop appropriate new defences on a case-by-case basis” where the fundamental principles of the Directive should permit third party use.⁶⁴ No doubt, at least some of those lobbying for this change of emphasis had in mind prominent US actions that have helped draw the boundaries between trademark protection and free speech in that country. Two of the most prominent are undoubtedly *Mattel v. MCA Records*⁶⁵ and *Rogers v. Grimaldi*,⁶⁶ the latter producing the widely used “Rogers test” for balancing expressive use with trademark protection.⁶⁷ Most recently the Supreme Court decision in *Matal v. Tam*⁶⁸ held that the disparagement clause in the Lanham Act was unconstitutional.

⁶¹ See Nari Lee, *Public Domain at the Interface of Trade Mark and Unfair Competition Law: The Case of Referential Use of Trade Marks*, in INTELL. PROP., UNFAIR COMPETITION AND PUBLICITY: CONVERGENCES AND DEVELOPMENT, 334–38 (Nari Lee, Guido Westkamp, Annette Kur, & Ansgar Ohly eds., 2014).

⁶² Martin Senftleben et al., *The Recommendation on Measures to Safeguard Freedom of Expression and Undistorted Competition: Guiding Principles for the Future Development of EU Trade Mark Law*, 37(6) EUROPEAN INTELL. PROP. REV. 337 (2015).

⁶³ *Id.* at 339.

⁶⁴ *Id.* at 342.

⁶⁵ *Mattel v. MCA Records*, 296 F.3d 894 (9th Cir. 2002).

⁶⁶ *Rogers v. Grimaldi*, 875 F.2d 994 (2d Cir. 1989).

⁶⁷ For a detailed discussion of these cases, see Chapter 33 in this volume.

⁶⁸ *Matal v. Tam*, 137 US 1744 (2017).

What is remarkable, however, is, until very recently, how little authoritative case law there is, certainly at the European level, addressing similar concerns. We have already seen that the interpretation of specific limitations, such as what constitutes descriptive use or what falls within the “spare parts” defence, has advanced very little from the early days of the first Directive. And, in the case of descriptive use, once a descriptive word has become distinctive, it is difficult to see how a defence of descriptive use by a third party would succeed in any event. As for cases concerned with freedom of expression, there have been, since the Directive, instances in member states where the courts have been asked to choose between free political speech and trademark protection, but again they are surprisingly few.⁶⁹ This may change following the CJEU decision in *Constantin Film Produktion v. EUIPO*,⁷⁰ where the Court essentially held that that EU trade mark law should be interpreted in a way that will ensure full respect for fundamental rights and freedoms, in particular freedom of expression. Interestingly, to date in the EU, perhaps the most prominent case in which claimants argued, albeit unsuccessfully, that their rights to exploit their trademarks were being truncated was not an infringement action at all; instead it was the claim by the tobacco companies that plain packaging interfered with their right to property.⁷¹ In sum, there has not been demonstrated, across the period of both directives, a pressing concern with the issue of freedom of speech among parties to trademark infringement actions. Furthermore, to take the United Kingdom as an example, it is interesting that where the balance between trademark protection and freedom of expression has been at issue, it has largely been part of a dispute between two, often weighty, commercial enterprises.⁷²

VIII CONCLUSION

This chapter has sought to describe the limitations to infringement that allow referential use of a registered trademark; to show how these limitations have been applied; and to assess their significance as a means of protecting competition within the common market and the right to freedom of expression. We have noted that while the limitations have been accorded considerable importance in the 2016 Directive, they have not had commensurate importance in case law, at least so far. Ostensibly then, the EU serves as a contrast to the United States, where limitations to trademark infringement have been viewed as important for protecting a public domain of free speech. For example, while the *Tam* case led to a finding that the morality clause of the Lanham Act was unconstitutional, the MPI Study did not refer to the equivalent clause in the Directive, despite its concern for the protection of freedom of expression.⁷³ And in *Constantin v. EUIPO*, the CJEU did not question the existence of the ‘morality clause’; stating only that its application should be compatible with freedom of expression. One can only speculate why the balance

⁶⁹ See Case C-04/12417, *Esso Plc v. Greenpeace France*, 2006 ETMR 53; see also *Societe des Participants du Commissariat a l’Energie Atomique SA v. Greenpeace France*, 2005 ETMR 78.

⁷⁰ Case C-240/18 *Constantin Film Produktion GmbH v. EUIPO*, 2020, EU:C:2020:118; see also *Casado Coca v Spain* (A/285), 1994, 18 E.H.R.R. 1.

⁷¹ Case C-220/17, *PlanTabak-Manufaktur Dr Manfred Obermann GmbH v. Land Berli*, 2019, WLR 28. For the United Kingdom see *Regina (British American Tobacco) and others v. Secretary of State for Health*, 2016, EWCA Civ. 1182.

⁷² See Case HC/2016/001587, *Sky v. Skykick*. See also *Boehringer Ingelheim Ltd v. VetPlus Ltd*, 2007 EWCA Civ. 583 (holding that the granting of an interim injunction in trademark cases must be compatible with freedom of expression under the Human Rights Act 1998 § 12(3), and granted only if the claimant is more than likely to succeed at trial).

⁷³ The equivalent morality clause in the 2008 TMD is art. 3(1)(f), and in the 2015 TMD is art. 4(1)(f). A recent case at the General Court of the EU was a failed attempt to register “laMafia” for, inter alia, restaurants. The applicant argued the sign was meant to parody *The Godfather* films. The Court found it offended against public morality. See *La Mafia Franchises SL v. European Union Intellectual Prop. Office*, 2018 ECLI:EU:T:2018:146. See also *Constantin Film Produktion v. EUIPO*.

between trademark protection and freedom of expression in the EU has been raised in relatively few cases, and these few have been cases primarily concerned with referential, commercial use. Perhaps this is because when there is a danger that trademark protection might inhibit free speech, it is generally the case that the mark at issue is a well-known one – in other words, that it would embody meanings beyond its basic one as a badge of origin. For it is precisely these additional meanings that might be parodied or used in other expressive ways, perhaps to make a political point. And it might also be posited that when such use is made of a powerful mark, it is a matter of “brand” protection not to take those concerned to court, but instead to seek other ways to protect the “brand.”⁷⁴ Nike is a case in point. Although its name and its distinctive “swoosh” have been widely parodied and reproduced by critics of its labour practices, its response has not been litigation but, rather, a public commitment to improving conditions amongst those who are employed to produce its products. Recently, a leading business website was able to headline its article about Nike, “How Nike shed its sweatshop image to dominate the shoe industry.”⁷⁵ In other words, if the limitations to trademark infringement have had any effect, it has been to help balance the interests of (often powerful) competitors rather than to create a protected public domain for freedom of expression.

⁷⁴ A relatively rare example of an EU-registered design proprietor taking a private individual to court is *Plesner Joensen v. Louis Vuitton*, where Plesner displayed a painting with a starving child holding a bag incorporating the claimant’s design. LV sued Plesner for infringement, and the Dutch District court held that Plesner’s right to freedom of expression under art. 10 of the European Convention on Human Rights trumped Louis Vuitton’s right to property under art. 1. Although, arguably LV had grounds for appeal, it chose not to proceed further. See Case 389526/KG ZA 11-294, *Nadia Plesner Joensen v. Louis Vuitton Malletier SA*, 2011 ZA 11-294.

⁷⁵ Ashley Lutz, *How Nike Shed Its Sweatshop Image to Dominate the Shoe Industry*, BUSINESS INSIDER (June 6, 2015), <https://businessinsider.com/how-nike-fixed-its-sweatshop-image-2015-6?r=UK&IR=T>.